

ROLE OF REGULATORS IN BUILDING INVESTORS CONFIDENCE WITH SPECIAL REFERENCE TO MUTUAL FUND INDUSTRY IN INDIA

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The Indian capital market is also undergoing structural transformation since liberalization. Keeping in view the role and importance of capital market in the economy the regulation of capital market is highly desirable. The consistent reforms in Indian capital market, especially in the secondary market resulting in modern technology and online trading have revolutionized the stock exchanges. The operation of mutual fund in India is governed by a number of regulations and guidelines issues by various agencies like Reserve Bank of India, Securities and Exchange Board of India (SEBI), Unit Trust of India (UTI) and Association of Mutual Funds in India (AMFI). The regulator, Securities and Exchange Board of India (SEBI), has consistently introduced several regulatory measures and amendments aimed at protecting the interests of the small investor that augurs well for the long term growth of the industry. Mutual fund industry is still act infant stage and needs support of regulator like SEBI so that its reach is widened and penetration levels are broad based especially beyond tier II and tier III cities. The regulatory and compliance ambit seeks to dwell on a range of issues including the financial capability of the players to ensure resilience and sustainability through increase in minimum net worth and capital adequacy, investor protection and education through disclosure norms for more information to investors, distribution related regulations aimed at introducing more transparency in the distribution system by reducing the information gap between investors and distributors, and by improving the mechanism for distributor remuneration.

Keywords: Mutual funds, Capital market, AMFI and SEBI

Introduction:

The wave of economic reforms initiated by the government has influenced the functioning and governance of the capital market. The Indian capital market is also undergoing structural transformation since liberalization. Keeping in view the role and importance of capital market in the economy the regulation of capital market is highly desirable. The consistent reforms in Indian capital market, especially in the secondary market resulting in modern technology and online trading have revolutionized the stock exchanges. The operation of mutual fund in India is governed by a number of regulations and guidelines issued by various agencies like Reserve Bank of India, Securities and Exchange Board of India (SEBI), Unit Trust of India (UTI) and Association of Mutual Funds in India (AMFI). SEBI obtained its powers and statutory recognition on April 4, 1992 by an act of parliament called the SEBI Act. The overall objective of SEBI as outlined in SEBI Act 1992 is “to protect the interests of investors in securities and to promote the development of and to regulate the securities market and for matters connected therewith or incidental thereto. It protects the right and the interests of investors, particularly individual investors and guides /educates them. It prevents trading malpractices and aims at achieving a balance between self regulation by securities industry and statutory regulation.

The regulator, Securities and Exchange Board of India (SEBI), has consistently introduced several regulatory measures and amendments aimed at protecting the interests of the small investor that augurs well for the long term growth of the industry. The regulatory and compliance ambit seeks to dwell on a range of issues including the financial capability of the players to ensure resilience and sustainability through increase in minimum net worth and capital adequacy, investor protection and education through disclosure norms for more information to investors, distribution related regulations aimed at introducing more transparency in the distribution system by reducing the information gap between investors and distributors, and by improving the mechanism for distributor remuneration.

Review of Regulatory Environment of Capital Market:

Reserve Bank of India: Reserve Bank of India (RBI) has regulatory involvement in the capital market, but this has been limited to debt management through primary dealers, foreign exchange control and liquidity support to market participants. It is RBI and not SEBI that regulates primary dealers in the Government securities market. The basic functions of the Reserve Bank of India are to regulate the issue of Bank notes and the keeping of reserves with a view to securing monetary stability in India and generally to operate the currency and credit system of the country to its advantage.

Securities and Exchange Board of India: Securities and Exchange Board of India (SEBI) was set up as an administrative arrangement in 1988. In 1992, the SEBI Act was enacted, which gave statutory status to SEBI. It mandates SEBI to perform a dual function: investor protection through regulation of the securities market and fostering the development of this market. Realizing the need for a set of common rules governing entire mutual fund industry, the Ministry of Finance, Government of India, appointed a Committee under the chairmanship of the Chairman of the Unit Trust of India, Dr. S. A. Dave to frame comprehensive guidelines for the mutual fund industry. The committee submitted its report in 1992. Based on the recommendations of the committee, Securities and Exchange Board of India (SEBI) issued guidelines for the mutual fund industry in January 1993. These are known as Securities and Exchange Board of India (Mutual Funds) Regulations 1993. It has also been delegated certain powers under the Companies Act. In addition to registering and regulating intermediaries, service providers, mutual funds, collective investment schemes, venture capital funds and takeovers, SEBI is also vested with the power to issue directives to any person(s) related to the securities market or to companies in areas of issue of capital, transfer of securities and disclosures. It also has powers to inspect books and records, suspend registered entities and cancel registration. SEBI issued directives that require that half the members of the governing boards of the stock exchanges should be non broker public representatives and include a SEBI nominee. To avoid conflicts of interest, stock brokers are a minority in the committees of stock exchanges set up to handle matters of discipline, default and investor-broker disputes. The exchanges are required to appoint a professional, non member executive director who is accountable to SEBI for the implementation of its directives on the regulation of stock

exchanges. SEBI has introduced a mechanism to redress investor grievances against brokers. Further, all issues are regulated through a series of disclosure norms as prescribed by SEBI and respective stock exchanges through their listing agreement. After a security is issued to the public and subsequently listed on a stock exchange, the issuing company is required under the listing agreement to continue to disclose in a timely manner to the exchange, to the holders of the listed securities and to the public any information necessary to enable the holders of the listed securities to appraise its position and to avoid the establishment of a false market in such listed securities. The powers and functions of regulatory authorities for the securities market seem to be diverse in nature.

The regulatory and compliance ambit seeks to dwell on a range of issues including the financial capability of the players to ensure resilience and sustainability through increase in minimum net worth and capital adequacy, investor protection and education through disclosure norms for more information to investors, distribution related regulations aimed at introducing more transparency in the distribution system by reducing the information gap between investors and distributors, and by improving the mechanism for distributor remuneration. The success of the relatively nascent mutual fund industry in India, in its march forward, will be contingent on further evolving a robust regulatory and compliance framework that in supporting the growth needs of the industry ensures that only the fittest and the most prudent players survive. In India, under the present framework, the regulation of all participants in the securities market (with the exception of issuers of capital) is the responsibility of SEBI. The market regulator, SEBI, along with the Government of India and organizations such as AMFI has been initiating measures that have helped the industry evolve over time. SEBI has been working actively to put in place systems which further strengthen the operational framework, result in great transparency, enable smooth transfer of market information and help the investor in making informed decisions. SEBI has laid down conditions for the appointment of trustees and has specified their obligations as well as detailed guidelines on the trust deed. The AMC is to be approved by SEBI. SEBI has also laid down the terms and conditions for the approval of the AMC, one of the conditions for approval being that the AMC has a net worth of Rs 10 crore. The directors of the AMC are to be persons having adequate professional experience in finance and financial services related fields. The key personnel of AMC should not have been working for any AMC or mutual fund or any intermediary whose registration has been suspended or cancelled at any time by the board.

Mutual funds must have a custodian who is to be approved by SEBI. SEBI has laid down several provisions for pre-launch and post-launch disclosure to ensure that investors can take informed decisions on the basis of factual information supplied by a mutual fund. No new scheme can be launched unless the same is approved by trustees and a copy of the document has been filed with the board. SEBI has stipulated that the names of the trustees of the mutual fund and the director of the AMC should be disclosed in the prospectus of the fund. SEBI has outlined the advertisement code to be followed by mutual funds in making any publicity regarding any scheme and its performance. Indian mutual funds have so far never failed to pay reasonably good returns on investment. However, keeping in view the prospect of greater competition the entry of new mutual funds with no known track record and growing market volatility the introduction of an investors' protection fund would increase the investors' confidence in mutual funds and reduce the risk of investing in mutual funds.

Association of Mutual Fund in India: Association of Mutual Funds in India (AMFI) is the umbrella body of all the Mutual Funds registered with SEBI. It is a non-profit organization committed to develop the Indian Mutual Fund Industry on professional, healthy and ethical lines and to enhance and maintain standards in all areas with a view to protecting and promoting the interests of Mutual Funds and their unit holders. Mutual Fund both conceptually and operationally is different from other savings instruments. Mutual Funds invest in instruments of capital markets which have different risk-return profile. It is very necessary that the investors understand properly the conceptual framework of Mutual Fund and its operational features. AMFI therefore thought it appropriate to produce a booklet in the form of an investor's concise guide that will explain in simple language the concept and working of Mutual Funds. AMFI, the apex body of all the registered Asset Management Companies was incorporated on August 22, 1995 as a non-profit organization. As of now, all the 39 Asset Management Companies that are registered with SEBI are its members. The Association of Mutual Funds in India (AMFI) is dedicated to developing the Indian Mutual Fund Industry on professional, healthy and ethical lines and to enhance and maintain standards in all areas with a view to protecting and promoting the interests of mutual funds and their unit holders.

Recent Issues and Performance of Regulators in Capital Market:

In brief the major reforms which have taken place in Indian markets include screen based trading, electronic transfer of securities, dematerialization, rolling settlement, risk management practices and introduction of derivative trading and so on. SEBI regulations have tried a mix of better corporate governance structure, information flow and direct controls over expenses and fees to ensure that the investor is given a fair deal.

Accounting Requirement: Mutual funds shall be required to segregate their earnings as current income, short-term capital gain and long-term capital gains. For all quoted instruments, mutual funds must calculate weekly NAV at the last available closing market prices. For unquoted investments, the valuation may be done once weekly either at cost or by any other method authorized by SEBI. For investments considered doubtful, the director's best estimate may be accepted, subject to auditor's certificate of reasonability.

Disclosures and Reporting: SEBI shall have the right to call for any information regarding the operations of Mutual funds any of its schemes from the mutual funds, Asset Management Company, custodian, sponsor or any other person associated with mutual fund.

SEBI will require from every mutual fund at least the following periodic reports, in addition to any other it may see fit:

- a) Copies of the duly audited annual statements of accounts including the balance sheet and the profit and loss account for the fund and for each schemes once a year.
- b) Six monthly unaudited accounts as above.
- c) A statement of movements in net assets for each of the schemes of the funds every quarter.
- d) A portfolio statement, including changes from the previous periods for each scheme every quarter.

SEBI shall also lay down the accounting policies to be complied with by all mutual funds and the formats and contents of the financial statements and other reports. SEBI shall also require all mutual funds to adopt a written code of ethics designed to deal with the potential conflicts of interest that many arise from transitions by the affiliated persons or companies. SEBI shall lay down a common advertising code for all mutual funds to comply with. All mutual funds will be

expected to submit to SEBI the texts of the marketing literature and advertisement issued to the investors.

The marketing and publicity brochures for each scheme shall properly disclose the investment objectives, the method and periodicity of valuation of investment, the exact method and periodicity of sales and purchases and other details considered by SEBI to be essential for investors.

Regulation for MF Distributors

Currently, distributors of MF schemes are not separately regulated by any authority in India. Further, many of them though certified by AMFI still leave a lot to be desired so as to render professional advice to investor and reduce mis-selling of the MF products. MFs need distributors who are able to inform the investors about the efficacy of the product for a particular risk profile and stage in their life cycle. SEBI is planning to put in place a compliance certification examination (by NISM) and is expected to run it online from mid-2010. Further, SEBI is also expected to soon come out with a new set of guidelines for MF distributors. As the affluence of Indians increase, the range of financial products to meet people's need will expand and with it the need for professional financial advice from the MF distributors will increase

Trading through stock exchange platforms

Recently, SEBI has permitted trading of MF units on recognized stock exchanges. Subsequently, Bombay Stock Exchange and National Stock Exchange have launched trading platforms enabling investors to invest by availing services of stock brokers. While trading through the stock exchange, the investor would get to know about the validity of his order and the value at which the units would get credited/ redeemed to his account by the end of the day. Whereas, while investing through MF distributor or directly with the MF, the investor gets information of the subscription and redemption details only in the form of direct communication from the MF/ AMC. Thus, by trading through the stock exchange, the investor would be able to optimize his investment decisions due to the reduced time lag in the movement of funds. This transparency in knowing the status of order till completion helps in reducing disputes. Further, the investor would be able to get a single view of his portfolio across multiple assets like securities, MF units etc.

One of the most effective industry bodies today is probably the Association of Mutual Funds in India (“AMFI”). It has been a forum where mutual funds have been able to present their views, debate and participate in creating their own regulatory framework. The association was created originally as a body that would lobby with the regulator to ensure that the fund viewpoint was heard. Today, it is usually the body that is consulted on matters long before regulations are framed, and it often initiates many regulatory changes that prevent malpractices that emerge from time to time. AMFI works through a number of committees, some of which are standing committees to address areas where there is a need for constant vigil and improvements and other which are ad hoc committees constituted to address specific issues. These committees consist of industry professionals from among the member mutual funds. There is now some thought that AMFI should become a self-regulatory organization since it has worked so effectively as an industry body.

Challenges:

Despite the significant developments, the Indian capital market has been in decline in the recent past. However, currently the market has recovered substantially and hopefully; the upward growth trend is expected to remain. The Indian security market still faces many challenges and issues that need to be resolved. Market infrastructure and investor awareness has to be improved as it obstructs the efficient flow of information and effective corporate governance. The legal mechanism should be activated to protect small shareholders by giving them speedy grievance redressal mechanism. The trading system has to be made more transparent. Market information is a crucial public good that should be made available to all participants to achieve market efficiency.

Mutual funds which deal with the money of investors need to think about long-term protection of funds through the creation of assets which must be backed by the real growth of assets in the economy. A serious cause for concern is that asset valuation is often done on an ad hoc basis and not on any acceptable scientific basis. The industry needs to pay attention to this respect. We have to consider the fate of the mutual funds industry in the event of the services industry-led capital market. In such a scenario what would be the insurance for the investors? Who would be held responsible for failing to monitor and minimize the dangers inherent in the system? The remedy does lie in regulatory measures. We have to put in place a regulatory system which takes

into account the future problems and prospects and ensure that the system is implemented. Our market-oriented regulations have an implicit short term bias. AMFI should brace itself to face the potential challenges and dangers. Protecting the industry and getting it going is only a short-term function of an organization. AMFI should not function as an organization that serves only its members, but as an institution that holds firm in the face of unseen challenges. The institutionalization of moral ethics, standardization of certain practices and implementation of the SEBI regulations can at best be termed its short and medium term activities. AMFI must now put itself to the task of assessing the changing scenario over a long time span, as well as challenges likely to arise from the gradual erosion of the real economy. It must try to provide a safety net and a level of comfort to the investors. This is possible only if AMFI is made into an institution which has greater give and take with the public, whether in terms of the exchange of views or expertise. Finally the social and indigenous culture has a strong bearing on the success of the methods of regulation and practices adopted. Therefore planting certain practices and procedures from another socio-cultural environment may not always be the appropriate or ideal course of action. The expectations and motives of the investors need to be respected and integrated into the system.

Major Policy Recommendations

2009	Facilitating transactions in Mutual Fund schemes through stock exchange
	No entry load on any Mutual Fund scheme & commission to distributor to be paid by investor
2008	Real Estate Mutual Fund schemes allowed
	Overseas investment limit of MFs extended
2007	Waiver of entry load for direct application
2006	Introduction of Gold ETFs

While a proactive regulator has brought about standardization and transparency in the industry to win investor's confidence, focused programme by other stakeholders to further enhance financial literacy and product awareness need to be undertaken to maintain the growth momentum. Also, strengthening of distribution channels to facilitate access of MF products and after sale service, combined with innovative product offerings will play an important role in the success of the industry, points out the study.

SEBI hasn't been able to educate investor on the usage of mutual funds as investment options yet. As the principal regulator of financial services in the country SEBI should invest in programs that give investor knowledge about financial products in the country. Investors should be able to make informed decisions after knowing how MFs can be used for financial planning. This could be done in conjunction with AMCs, AMFI and other participants in the financial sector. The MF regulator (SEBI) should increase the accountability of all major players including the AMCs, distributors and brokers to build trust among retail investors. It is explicit that the SEBI regulations relating to Mutual Funds have not served the purpose fully. Hence to redress the grievances of unit holders effective functioning from SEBI by punishing the erring institutions suitably. The government and statutes alone cannot afford full protection to the unit holder. To supplement the efforts of the government, SEBI, AMFI, an investor's services cell in private should come out in large number to redress the grievances of the unit holders. The regulating authorities should manage their regulation response to the changes with the Financial system - a phenomenon which Edward Kane (1981) called "Regulatory Decaletic". "Greater the degree of financial liberalization, Greater is the need for strengthening regulatory frame work in mutual funds"

Regulatory measures are essential to improve the confidence of investors in the market by introducing minimum standard of quality. The regulatory framework for mutual funds suffers from several shortcomings. Some of the guidelines issued by SEBI and RBI are contradictory. For instance while RBI prohibits bank sponsored Mutual Funds from investing in Finance companies while SEBI has made reservations for Mutual Funds in Public issues for Finance companies. The existing rules and regulations are comprehensive to ensure greater transparency about the operations of Mutual Funds. However there is some scope for effectively curbing the malpractices, particularly in the field of distribution of Mutual Funds by regulating the activities

of intermediaries. SEBI rules regarding late trading and rapid trading are either ineffective or nonexistent. Although SEBI has introduced a specific regulation against late trading since March 2004, it has failed to check late trading. As a result there is a rampant late trading by Mutual Fund to the detriment of common investors.

Nevertheless the transparency level in terms of disclosure of portfolios of the schemes is higher in the mutual fund industry compared to other establishments such as banks, post offices and provident funds there is still more scope for mutual funds to further enhance it through more disclosures. They need to explain the risk factor in detail, disclosure portfolio turnover and associated transaction costs, exhibit their financial performance, profile of the managers' percentage of fees charged by SEBI and total expense ratio.

SEBI also needs to look at the possibility of funds aiming to curtail their asset size. It needs to see that such a process does not harm the interest of the investor. No caps on asset size are required as funds are voluntarily restricting size due to competitive pressures.

Conclusions: The structure and pattern of securities markets in India and around the world is undergoing many changes. India's capital markets have experienced sweeping changes since the beginning of the last decade. Its market infrastructure has advanced while corporate governance has progressed faster than in many other emerging market economies. But in contrast to several developed countries and Asian economies, India's capital markets are still shallow, implying that further reforms are needed to make India a world-class financial centre. Mutual fund industry is still at infant stage and needs support of regulator like SEBI so that its reach is widened and penetration levels are broad based especially beyond tier II and tier III cities.

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